

Powering AI

Positive read-across from Cummins and Deere

- ◆ CMI saw continued high back-up power demand & tight prime power supply – positive read-across for CAT and Weichai
- ◆ AIDC buildout is lifting US construction demand – positive read-across for CAT and Techtronic
- ◆ We like CAT (prime power upside), Weichai (prime power + SOFC potential), and Techtronic (AIDC construction demand)

Cummins (CMI US, USD638.78, Not rated) hosted its Capital Markets Day, and Deere (DE US, USD531.35, Hold) hosted its 2Q26 earnings call on 21 May. Key messages further validate our positive view on [CAT](#), [Weichai](#) and [Techtronic](#).

Strong AIDC power demand: On **backup power**, CMI continued to see strong demand in the US and China. 95% of CMI power gen business is behind-the-meter backup power and it is taking AIDC backup power orders for 2028 deliveries. Therefore, CMI announced a USD450m investment to add 20GW high-horsepower engine and genset capacity, reaching total 55 GW by 2030. On **prime power**, we expect the tight supply to persist to at least 2028. CMI announced the development of a 4MW gas engine solution with an expected 2028 launch, based on its existing HSK78 platform (now 1.6-2MW). We see it as a positive read-across for CAT (engine offerings up to 10MW with leading market positions) and Weichai (targeting deliveries of 2.5-3MW gas gensets to the US from 4Q26).

AIDC buildout lifting US construction demand: Despite investor concerns around higher interest rates, Deere's upgraded construction outlook reaffirmed steady US construction demand, especially driven by strong AIDC and infrastructure buildout. Deere raised its FY26 Construction & Forestry net sales growth guidance to +20% vs +15% previously. Its order book is at the highest level since April 2024, with over 80% of FY26 production slots filled. Deere also noted data center construction spend is expected to exceed USD100m in 2026, with double-digit growth into 2027, supporting equipment demand across (i) large-scale site preparation (construction contractors) and (ii) grid/cooling-related works (water and utility contractors). We see it as a positive read-across for CAT's Construction Industries and TTI's tool demand.

Reiterate Buy ratings on CAT, Weichai and Techtronic: We like **CAT** for its multi-year AIDC prime power upside and strong market position. We like **Weichai** for its prime power and SOFC potential. We like that **Techtronic** benefits from AIDC buildout (11% of TTI's sales). Key downside risks: slower AIDC buildout, higher rates.

Our global coverage of companies that provide power equipment for AIDCs

Company	Ticker	Currency	Current price	TP Unchanged	Rating Unchanged	Upside/downside	Market cap (USDm)	3m ADTV (USDm)	P/B 2026e	P/E 2026e	ROE 2026e
Caterpillar	CAT US	USD	879.89	1,100.00	Buy	25.0%	405,270	522.5	21.7	36.3	44.1
Weichai Power – H	2338 HK	HKD	41.12	50.00	Buy	21.6%	44,043	95.0	3.6	21.1	12.2
Weichai Power – A	000338 CH	CNY	34.01	42.00	Buy	23.5%	44,043	523.9	3.4	10.1	12.2
Techtronic	0669 HK	HKD	118.80	142.00	Buy	19.5%	27,745	94.0	3.6	19.9	19.1

Source: LSEG Eikon, HSBC estimates. Priced as of close at 22 May 2026

Equities Machinery

Global

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Valuation and risks

		Valuation	Risks
Caterpillar CAT US	Current price: USD879.89	Methodology: DCF valuation	Downside risks: (1) Worse-than-expected economic slowdown; (2) slower AIDC buildout; (3) global competition is more intense than expected; and (4) worse-than-expected tariff impact on costs.
Buy	Target price: USD1,100.00	Assumptions: We maintain terminal growth at 3%, to reflect the prolonged AIDC power story. We use a Bloomberg-sourced beta of 1.04 as of 4 May 2026 (unchanged), covering the past 10 years. Risk-free rate of 4.25% and equity risk premium of 4.0%, as per HSBC's equity strategy team; cost of debt of 4.1%, target gearing ratio of 45%, tax rate of 23%, WACC remains 6.1%. (all unchanged) Factoring in our estimate changes, our rounded DCF-derived target price is USD1,100 (unchanged), which implies c25% upside and 38x 2027e P/E. We maintain Buy as we think CAT has an indispensable position in AIDC buildouts.	
	Up/downside: +25.0%	Helen Fang* helen.c.fang@hsbc.com.hk +852 2996 6942	
Weichai Power 2338 HK/ 000338 CH	Current price: HKD41.12 RMB34.01	Methodology: Sum-of-the parts approach and target PE multiple	Downside risks: unexpected slowdown in AIDC buildout, softer large engine sales (especially gas gensets for prime power and diesel engines for backup power), delayed SOFC deliveries and HDT renewals, and hawkish Fed.
Buy/Buy	Target price: HKD50.00 RMB42.00	Assumptions: We use a sum-of-the-parts approach to value Weichai. We illustrate our valuation for each part in the table below. We maintain our rounded H-share target price at HKD50.00 (unchanged). We use an A/H premium of -2% (unchanged), the YTD average, to factor in the converging A/H premium. Thus, we also maintain our rounded A-share target price at RMB42.00 (unchanged). Our H/A-share target prices imply c24%/20% upside, respectively, therefore we maintain our Buy/Buy ratings. We are positive on its AIDC power business growth.	
	Upside: H: +23.5% A: +19.5%	Helen Fang* helen.c.fang@hsbc.com.hk +852 2996 6942	
Techtronic 669 HK	Current price: HKD118.80	Methodology: Target P/E multiple.	Downside risks: 1) Stronger-than-expected margin pressure if higher-than-expected tariff is levied on Vietnam or Mexico in the future; 2) a slowdown in data centre/ utilities/ infrastructure construction demand, slowdown down professional tool sales; 3) further slowdown in non-core power tool products or floorcare demand; 4) slower-than-expected growth in overseas markets; and 5) higher-than-expected SG&A expenses slowing margin expansion
Buy	Target price: HKD142.00	Assumptions: We value TTI using a 20.5x target forward P/E multiple, the average during 2024, when EPS grew 15%, similar to HSBC 2025-28e EPS CAGR of 16%. Applying our target P/E of 20.5x to our 2027 EPS estimate, we derive a target price of HKD142 (unchanged), implying c20% upside. We retain our Buy rating as we believe strong Milwaukee end-market demand should continue to support growth, and margin expansion should accelerate from 2026e.	
	Up/downside: +19.5%	Helen Fang* helen.c.fang@hsbc.com.hk +852 2996 6942	

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 Priced at 22 May 2026
 Source: HSBC estimates

Weichai Power: SOTP approach

	Valuation method	Estimate year	% contribution to TP	Valuation assumptions/rationale
HDT-related and other business	PE	2027e	24%	We value HDT-related and other business using a target PE for 2027e of 9x, the average PE for the last downcycle to reflect the negative impact from fierce HDT competition and electric adoption (unchanged). Applying our target PE multiple to our EPS for 2027e of RMB1.13 (unchanged) and using HSBC's end-2026 HKD-RMB rate of 1.17 (unchanged) renders its valuation per share to Weichai's valuation, i.e., HKD11.59/RMB10.19 (unchanged).
Large diameter engine for data centres	PE	2027e	54%	We value the large diameter engine for the data centre business using a target PE for 2027e of 31x (unchanged), the market cap weighted average 1-year forward PE of the key comparables, as of 21 May 2026. Applying our target PE multiple to our EPS for 2027e of RMB0.75 (unchanged) and using HSBC's end-2026 HKD-RMB rate of 1.17 (unchanged) renders its valuation per share to Weichai's valuation, i.e., HKD27.27/RMB23.25 (unchanged).
SOFC business	PS	2027e	11%	We use Bloom Energy's PS ratio of 13.9x as of 21 May 2026 (unchanged) to value Weichai's SOFC business, as BE is a leader in the market. Applying our target PS multiple to our sales for 2027e of RMB2,975m (unchanged) and using HSBC's end-2026 HKD-RMB rate of 1.17 (unchanged) renders its valuation per share to Weichai's valuation, i.e., HKD5.57/RMB4.75 (unchanged).
Smart logistics business - KION	Bloomberg consensus TP	2027e	8%	We value Weichai's 46.52% stake in Kion (KGX GR, EUR44.19, not rated) using the Bloomberg consensus target price of EUR60.61 as of 21 May 2026 (unchanged), multiplying Kion's number of outstanding shares and using HSBC's end-2026 EUR-RMB rate of 7.85 (unchanged). Then dividing by Weichai's number of outstanding shares, we derive Kion's valuation per share contributing to Weichai's valuation, i.e., HKD3.91/RMB3.33 (unchanged).
Agricultural machinery business - Lovol	PE	2027e	3%	We value the agricultural machinery business using a target PE for 2027e of 14.8x (unchanged), the 1-year forward PE of First Tractor (601038 CH, RMB12.68, not rated) as of 21 May 2026. Applying our target PE multiple to our EPS for 2027e of RMB0.08 (unchanged) and using HSBC's end-2026 HKD-RMB rate of 1.17 (unchanged) renders its valuation per share to Weichai's valuation, i.e., HKD1.43/RMB1.22 (unchanged).

Source: Bloomberg, HSBC estimates. Priced at 22 May 2026

Disclosure appendix

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Upside/Downside is the percentage difference between the target price and the share price.

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*A stock was classified as volatile if its historical volatility had exceeded 40%, if the stock had been listed for less than 12 months (unless it was in an industry or sector where volatility is low) or if the analyst expected significant volatility. However, stocks which we did not consider volatile may in fact also have behaved in such a way. Historical volatility was defined as the past month's average of the daily 365-day moving average volatilities. In order to avoid misleadingly frequent changes in rating, however, volatility had to move 2.5 percentage points past the 40% benchmark in either direction for a stock's status to change.

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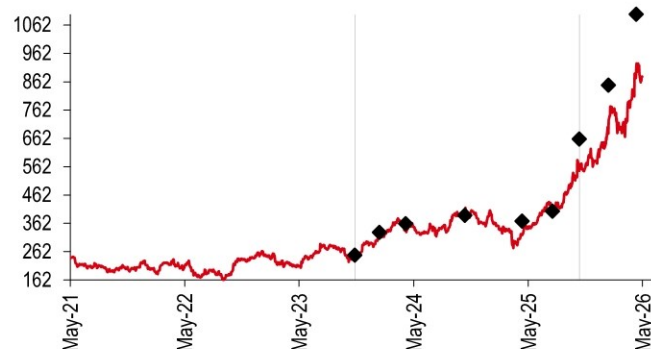
Buy	59%	(12% of these provided with Investment Banking Services in the past 12 months)
Hold	36%	(12% of these provided with Investment Banking Services in the past 12 months)
Sell	6%	(6% of these provided with Investment Banking Services in the past 12 months)

For the purposes of the distribution above the following mapping structure is used during the transition from the previous to current rating models: under our previous model, Overweight = Buy, Neutral = Hold and Underweight = Sell; under our current model Buy = Buy, Hold = Hold and Reduce = Sell. For rating definitions under both models, please see "Stock ratings and basis for financial analysis" above.

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Share price and rating changes for long-term investment opportunities

Caterpillar Inc (CAT.N) share price performance USD Vs HSBC rating history

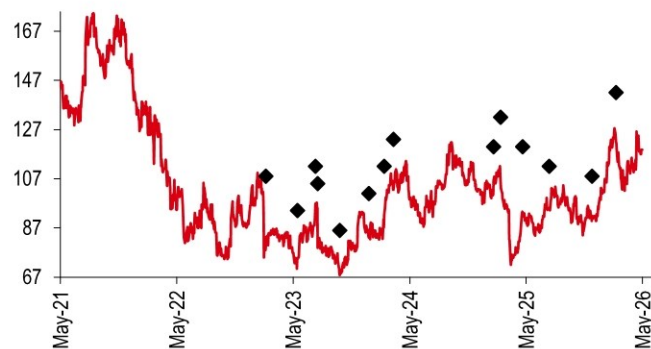


Rating & target price history

From	To	Date	Analyst
N/A	Hold	19 Nov 2023	Helen Fang
Hold	Buy	05 Nov 2025	Helen Fang
Target price	Value	Date	Analyst
Price 1	250	19 Nov 2023	Helen Fang
Price 2	330	06 Feb 2024	Helen Fang
Price 3	360	29 Apr 2024	Helen Fang
Price 4	390	04 Nov 2024	Helen Fang
Price 5	370	06 May 2025	Helen Fang
Price 6	405	11 Aug 2025	Helen Fang
Price 7	660	05 Nov 2025	Helen Fang
Price 8	850	05 Feb 2026	Helen Fang
Price 9	1100	05 May 2026	Helen Fang

Source: HSBC

Techtronic Industries (0669.HK) share price performance HKD Vs HSBC rating history

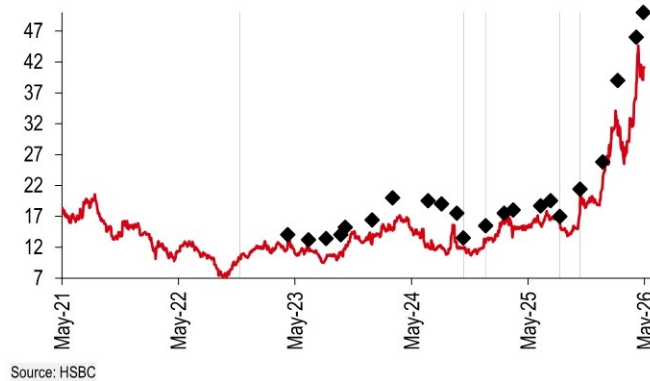


Rating & target price history

From	To	Date	Analyst
Hold	Buy	15 Jul 2020	Helen Fang
Target price	Value	Date	Analyst
Price 1	108.00	01 Mar 2023	Helen Fang
Price 2	94.00	08 Jun 2023	Helen Fang
Price 3	112.00	03 Aug 2023	Helen Fang
Price 4	105.00	10 Aug 2023	Helen Fang
Price 5	86.00	19 Oct 2023	Helen Fang
Price 6	101.00	18 Jan 2024	Helen Fang
Price 7	112.00	06 Mar 2024	Helen Fang
Price 8	123.00	04 Apr 2024	Helen Fang
Price 9	120.00	12 Feb 2025	Helen Fang
Price 10	132.00	06 Mar 2025	Helen Fang
Price 11	120.00	15 May 2025	Helen Fang
Price 12	112.00	06 Aug 2025	Helen Fang
Price 13	108.00	18 Dec 2025	Helen Fang
Price 14	142.00	04 Mar 2026	Helen Fang

Source: HSBC

Weichai Power (2338.HK) share price performance HKD Vs HSBC rating history

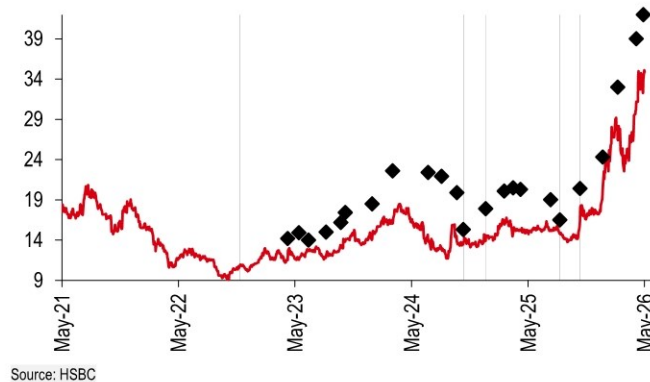


Rating & target price history

From	To	Date	Analyst
Hold	Buy	05 Dec 2022	Helen Fang
Buy	Hold	04 Nov 2024	Helen Fang
Hold	Buy	13 Jan 2025	Helen Fang
Buy	Hold	02 Sep 2025	Helen Fang
Hold	Buy	05 Nov 2025	Helen Fang
Target price	Value	Date	Analyst
Price 1	14.00	03 May 2023	Helen Fang
Price 2	13.20	07 Jul 2023	Helen Fang
Price 3	13.40	01 Sep 2023	Helen Fang
Price 4	14.00	17 Oct 2023	Helen Fang
Price 5	15.20	31 Oct 2023	Helen Fang
Price 6	16.40	23 Jan 2024	Helen Fang
Price 7	20.00	27 Mar 2024	Helen Fang
Price 8	19.50	16 Jul 2024	Helen Fang
Price 9	19.00	27 Aug 2024	Helen Fang
Price 10	17.50	15 Oct 2024	Helen Fang
Price 11	13.50	04 Nov 2024	Helen Fang
Price 12	15.50	13 Jan 2025	Helen Fang
Price 13	17.50	12 Mar 2025	Helen Fang
Price 14	18.00	09 Apr 2025	Helen Fang
Price 15	18.70	04 Jul 2025	Helen Fang
Price 16	19.50	04 Aug 2025	Helen Fang
Price 17	17.00	02 Sep 2025	Helen Fang
Price 18	21.40	05 Nov 2025	Helen Fang
Price 19	25.80	15 Jan 2026	Helen Fang
Price 20	39.00	03 Mar 2026	Helen Fang
Price 21	46.00	30 Apr 2026	Helen Fang
Price 22	50.00	22 May 2026	Helen Fang

Source: HSBC

Weichai Power A (000338.SZ) share price performance CNY Vs HSBC rating history



Rating & target price history

From	To	Date	Analyst
Hold	Buy	05 Dec 2022	Helen Fang
Buy	Hold	04 Nov 2024	Helen Fang
Hold	Buy	13 Jan 2025	Helen Fang
Buy	Hold	02 Sep 2025	Helen Fang
Hold	Buy	05 Nov 2025	Helen Fang
Target price	Value	Date	Analyst
Price 1	14.20	03 May 2023	Helen Fang
Price 2	14.90	07 Jun 2023	Helen Fang
Price 3	14.00	07 Jul 2023	Helen Fang
Price 4	15.00	01 Sep 2023	Helen Fang
Price 5	16.20	17 Oct 2023	Helen Fang
Price 6	17.40	31 Oct 2023	Helen Fang
Price 7	18.50	23 Jan 2024	Helen Fang
Price 8	22.60	27 Mar 2024	Helen Fang
Price 9	22.40	16 Jul 2024	Helen Fang
Price 10	21.90	27 Aug 2024	Helen Fang
Price 11	19.90	15 Oct 2024	Helen Fang
Price 12	15.30	04 Nov 2024	Helen Fang
Price 13	17.90	13 Jan 2025	Helen Fang
Price 14	20.10	12 Mar 2025	Helen Fang
Price 15	20.50	09 Apr 2025	Helen Fang
Price 16	20.30	02 May 2025	Helen Fang
Price 17	19.00	04 Aug 2025	Helen Fang
Price 18	16.50	02 Sep 2025	Helen Fang
Price 19	20.40	05 Nov 2025	Helen Fang
Price 20	24.30	15 Jan 2026	Helen Fang
Price 21	33.00	03 Mar 2026	Helen Fang
Price 22	39.00	30 Apr 2026	Helen Fang
Price 23	42.00	22 May 2026	Helen Fang

Source: HSBC

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CATERPILLAR INC	CAT.N	879.89	25 May 2026	7
TECHTRONIC INDS	0669.HK	118.80	25 May 2026	4, 7
WEICHAI POWER	2338.HK	41.12	25 May 2026	4, 7, 11
WEICHAI POWER A	000338.SZ	34.85	26 May 2026	4, 7, 11

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